

Research Briefing | Germany

Inconclusive election triggers long-lasting horse-trading

Economist

Oliver Rakau

Chief German Economist

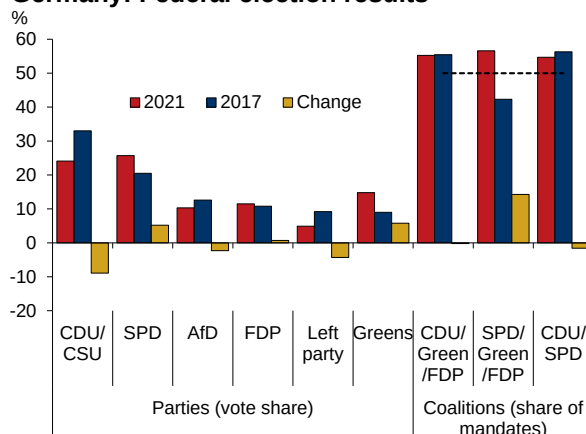
+49(0)69 9675 8664

- The federal election has seen a further fragmentation of the vote, which has left Germany with an inconclusive result. A protracted government formation is likely as the centre-right and centre-left blocks try to convince one party from the other side of the political spectrum to join an untested three-party coalition.
- The SPD is the narrow winner of the election, but the CDU will also attempt to form a coalition. Both will need the Green party and the liberal FDP to form a majority government, making them the kingmakers. A three-way deal will be tricky to reach, and a renewed CDU-SPD coalition remains a fallback option.
- We continue to see only limited forecast implications either way. The strong showing of the Green party implies an accelerated green transformation, but the FDP's support for the debt brake suggests that the impact on investment may be limited. So we still see limited room for a significant loosening of the fiscal stance and no real appetite for a fundamental overhaul of the EU's fiscal rules.

The outcome of the German federal election has been broadly as predicted by the polls. The SPD was the clear, if narrow, winner of the election after staging an impressive comeback over recent months (**Figures 1 and 2**). However, while the SPD came out on top, this doesn't guarantee that its lead candidate, finance minister Olaf Scholz, will also head the government. The Green party and the FDP have emerged as kingmakers as SPD and CDU need their support to form a majority government. This leaves Germany likely headed for an extended government formation. We see a so-called traffic light coalition (SPD, Green, FDP) as slightly more likely than a Jamaica coalition (CDU, Green, FDP). This will keep chancellor Merkel in charge of a caretaker government. Parties pledged to aim for a swift coalition deal, but only committed to an agreement "before Christmas". Overall, this leaves our pre-election views unchanged (see [here](#) and [here](#)).

Figure 1: SPD is the election winner, but cannot be sure of leading the next government

Germany: Federal election results



The SPD under the leadership of finance minister Scholz was the notional winner of election having squeaked past the CDU. However, both parties will aim to form a coalition with the Green party and the FDP.

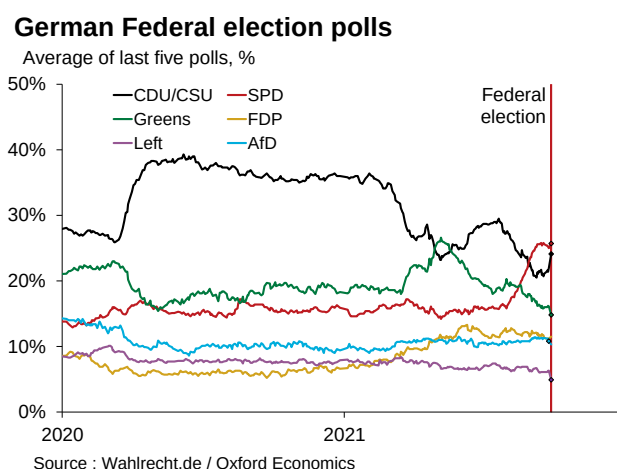
An SPD-led coalition deal is possible, but we don't see big forecast implications

There are a few tentative conclusions to be drawn from the election outcome and the first round of statements by the party leaderships despite the uncertainty about the eventual coalition. First, a change of the governing coalition is almost certain. While the SPD and CDU would have the votes to continue to govern together, there appears to be very little appetite for this in either party. Therefore, we see this only as a fallback option, in case a three-party deal cannot be reached.

Second, there is a decent chance that the next government will be more forward-looking and reform-minded than the last. The Green party and the FDP received 22% and 19% of the vote among those aged under 30, while SPD and CDU only got 17% and 11%, with an even stronger lead among first-time voters. With the two smaller parties likely forming part of the new government there are, for instance, decent odds of a more front-loaded green transition and more emphasis on the digital transition. Immigration reforms aimed at easing the demographic headwinds could also be on the agenda. The CDU's and SPD's lead candidates already pledged last night that they will (need to) negotiated with the smaller parties on equal footing, so the smaller parties' priorities could leave a larger imprint on the coalition deal than their vote share would usually suggest.

Third, a radical about-face on major domestic or European issues is unlikely. For one, the two probable three-party coalitions will combine centre-left and centre-right parties, not that dissimilar to the current CDU/SPD coalition. What's more, the CDU and SPD retain a strong standing in the Bundesrat, the upper house of parliament. So with neither the traffic light nor the Jamaica coalition having a majority there, the large party that doesn't form the government will still have important bearing on major policy decisions.

Figure 2: The SPD had a strong comeback in recent months



The SPD's strong gains over the course of the past few weeks have left it ahead of the CDU, which saw a sharp loss in voter support. The Green party also finished well down from the polling highs seen in the Spring.

Fourth, an SPD-led coalition with the Greens and FDP looks somewhat more plausible than a CDU-led deal. The SPD has the most votes, has seen clear gains from four years ago and its lead candidate has by far the most popular support to become chancellor. In contrast, the CDU suffered sharp losses and its leadership appears less cohesive than the SPD's putting it in a worse negotiation position after 16 years in power.

Finally, don't bank on a significantly loosened fiscal stance even under an SPD-led coalition. Last night, Scholz reiterated his view that the green and digital transitions are more about private and less about public investment. This is likely a signal to the fiscally conservative FDP, which opposed changes to the constitutional debt brake, and goes against the Green's plan for a €500bn investment plan over the next decade. In total, we don't foresee any changes to our forecasts at the moment given the uncertain outcome.